



Time: 6 minutes

Outcome: Trace fiscal and financial shocks through saving, NCO, FX, NX, and AD.

Difficulty: ●●● Advanced

Open-Economy Policy and Macroeconomic Transmission



THE CORE IDEA

A larger deficit reduces national saving and raises the real interest rate, other things equal. Domestic assets become more attractive, so net capital outflow (NCO) falls. Dollar supply shifts left, the dollar appreciates, and net exports (NX) fall. Here price levels are fixed, and vertical dollar supply equals NCO at the domestic real interest rate determined in the loanable-funds market.



HOW TO RECOGNIZE IT

- Lower national saving raises the real rate and lowers NCO, other things equal.
- Lower NCO shifts vertical dollar supply left, appreciating the dollar.
- Appreciation reduces NX when price levels stay fixed.

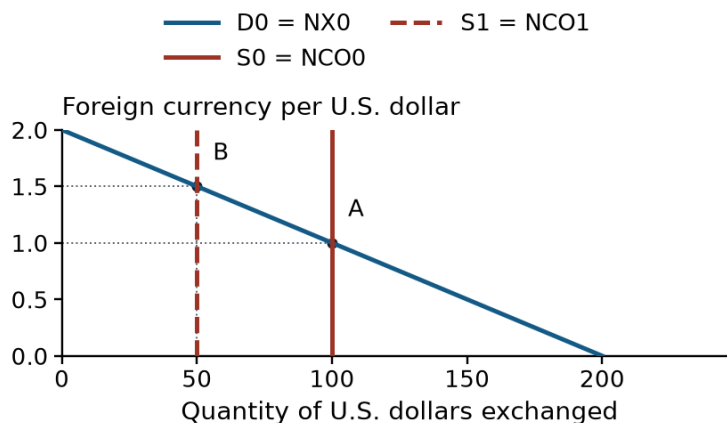


WATCH OUT

Do not claim a fixed quantitative offset or that every fiscal expansion changes output by the same amount. The model identifies directions; magnitudes depend on responses across markets.



WORKED EXAMPLE: A DEFICIT AND THE DOLLAR



Suppose a deficit raises the real rate and lowers NCO. In the graph, dollar supply falls from $NCO_0 = 100$ to $NCO_1 = 50$. Equilibrium moves from A to B, and the exchange rate rises from 1.0 to 1.5 foreign units per dollar. Dollar appreciation reduces NX; higher rates also crowd out some investment.



CHECK YOURSELF

Capital flight raises NCO. Trace the likely directions of dollar supply, the dollar's value, and NX.

**READY?**

Return to the game and master this concept.